

Module 9: Leveraged Buyouts

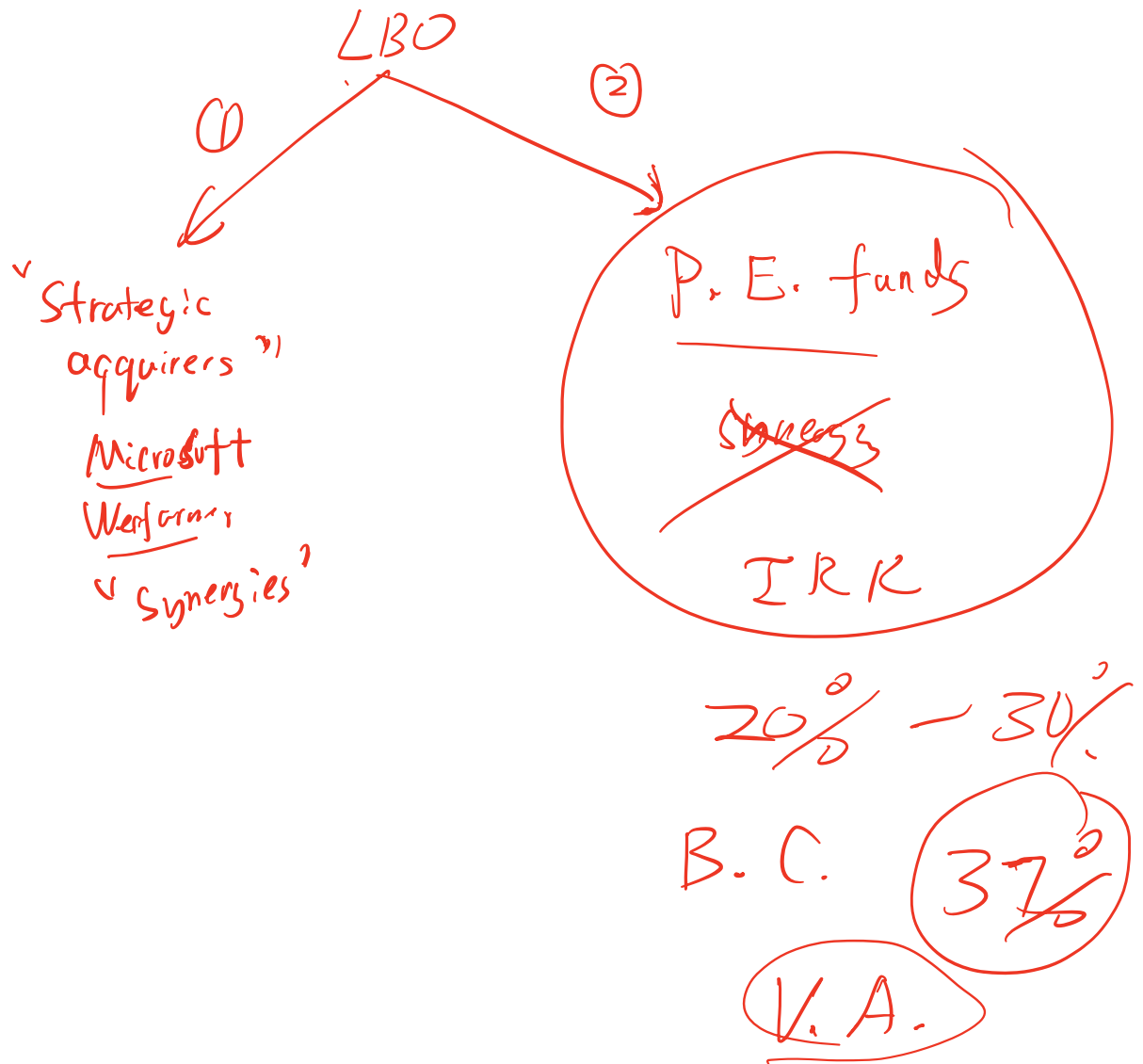
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LBO

100%

- An acquirer borrows a significant amount of debt to finance an M&A deal
 - Debt financing is usually at least 60%, sometimes greater than 90%.
 - Equity financing 10% to 40%.
- The assets (target) being purchased are usually used as the collateral for the newly borrowed debt.
 - ↳ Interest rate
- The acquirer is expected to reduce the financial leverage to the normal level normally within 5 years.



Two Typical Types of LBOs

Microsoft
Weisfarmen

Dimler-Benz

- I. A *strategic acquirer* borrows a large amount of debt to buy out the target.



- Key features:
 - This is simply a regular M&A transaction with a significant amount of debt financing.
 - Synergies are the main driving force of this type of LBO.
 - The acquirer has no plan to sell the target in the near future. *at the M&A*
 - The extra debt used to finance the deal will be paid-off gradually (e.g., over 5 years after M&A).
 - The acquirer's financial leverage will suddenly increase after the deal close and then reduce gradually as the acquirer pays of the debt.

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9:00 Am Sat

5:00 pm Mon

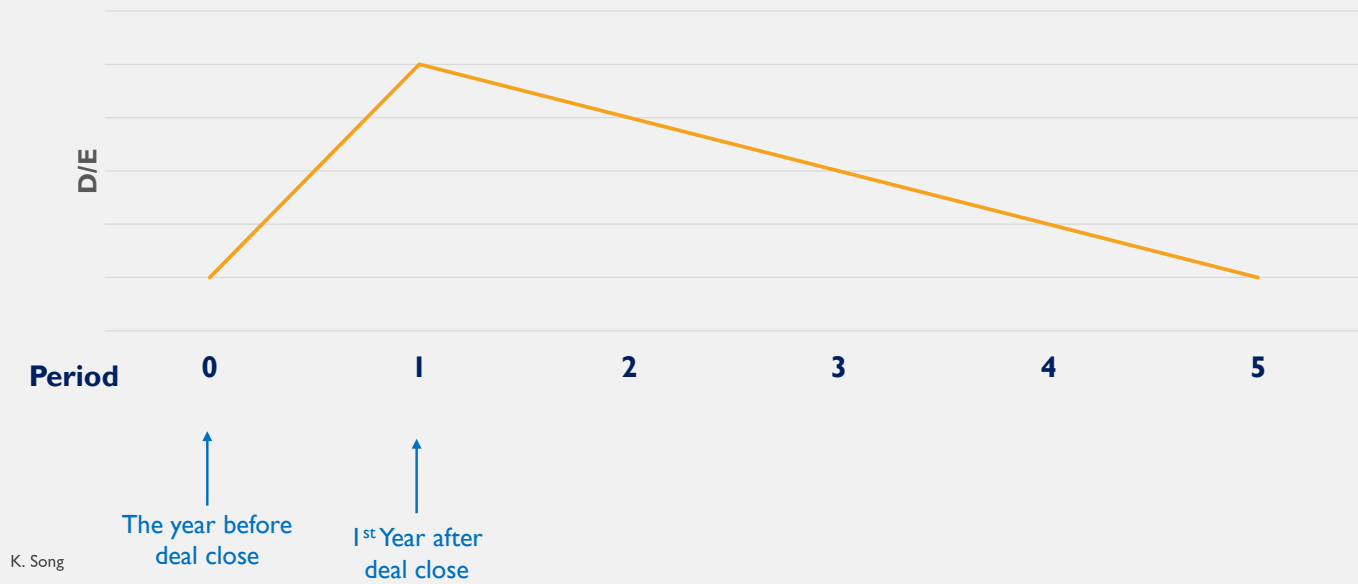
Module 7.

Module 8 $\leftarrow$ goodwill & financial model

[illegible]

LBOs May Affect Acquirer Leverage Significantly

Acquirer's Financial Leverage after LBO



Blue sky

Speedy

→ 6.5 Bn → $\frac{4.13}{2.5}$
Debt
Equity

Question

- 1. What are the most suitable targets for this first type of LBO transactions?

strong Cash flow

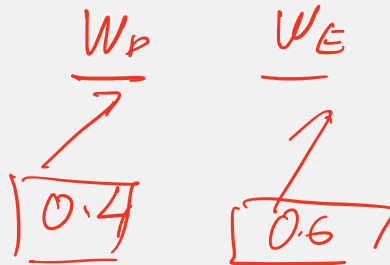
hard synergies $\rightarrow$ reliable

Strong B/S $\rightarrow$ $\frac{D}{E}$ low

Assets (Fixed Assets
Tangible Assets)

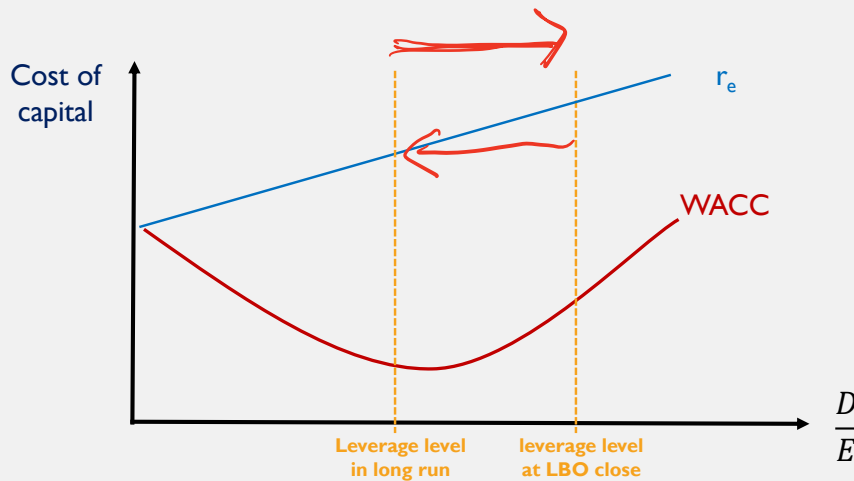
- 2. What is the potential issue with the DCF/WACC approach to value the target's total firm value?

$\rightarrow$ Finance WACC



The major issue with DCF/WACC

- As the leverage (D/E) changes, the cost of equity and the WACC change.
- Therefore, we might need to calculate the WACC for each period.



$$\beta_L = \beta_u \left(1 + \frac{D}{E} \times (1 - T_c) \right)$$

NO
Chang

$$R_E = R_f + \beta_L \times MRP$$

The major issue with DCF/WACC, cont'd

$$\begin{aligned} & \frac{D}{E} \uparrow \text{ or } \downarrow \\ & \downarrow \\ & \beta_L = \left[1 + \frac{D}{E} \times (1 - T_c) \right] \times \beta_U \\ & \downarrow \\ & r_e = r_f + \beta_e \times MRP \\ & \downarrow \\ & WACC = W_E \times r_e + W_d \times r_d \times (1 - T_c) \end{aligned}$$

It could be effortful to calculate the WACC in each year due to rapidly changing capital structure.

$WACC_1$ $WACC_2$ $WACC_3$
... $WACC_s$ $WACC_t$

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EBIT
Int Exp

EBITDA
Int Exp

Debt finam 60%
LBD
Debt fun 80%
90%

The Second Type of LBO

- **Financial sponsor(s)** borrow heavily to fully buyout a troubled public firm, a private firm or a subsidiary.
- Key features:
 1. Financial sponsors could be **private equity funds**, hedge funds, **VC funds**, or even the **top management of the target**.
 2. If the target is a public firm, then the target becomes delisted after the LBO.
 3. Financial sponsors seek to **maximise debt financing** for the LBO transaction.
 4. Financial sponsors usually use the target's assets as the collateral to reduce the **interest rate**.
 5. Financial sponsors use the cash flows generated by the target to pay off the debt as soon as possible.
 6. Financial sponsors' primary motivation for this type of LBO is capital gain and the value of control.
 7. Financial sponsors do not intend to hold the target forever. Instead, they need an exit strategy:
 - (a) IPO; (b) sell the target to a third party. (c) **Liquidation**

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→ P.E. Company

Black Stone
Baik Corp

2026 mine
Fund

P.E. fund

Limited Partnership

→ 10 years

Trust, Persius, Asset Mgt Co

Typical Financing Sources of the Second Type of LBO

→ "Bain Cap. 2026 Mining Fund - Australia"

- 1. Equity: Financial Sponsors contribute 5% to 45% of the transaction value and become shareholders. **\$40m**
- 2. Senior Debt: contribute to 55% to 85% of the transaction value. **collected \$50m**
 - Revolving credit facilities (borrowed from banks & financial institutions)
 - Term loans (borrowed from banks & financial institutions)
 - High yield bonds (borrowed from financial institutions)
- 3. Mezzanine Debt: contribute the rest in the form of subordinate debt. **\$10m Gap**
 - Mezzanine debt are subordinate (junior) debt: lower priority than senior debt in the claim to the firm's cash flows
 - Mezzanine debt could have the option to convert the debt into ordinary equity
 - Interest rate: 12% to 20% per year, much higher than the interest rate on the senior debt.
 - Lenders are typically financial companies such as P.E. funds (other than the financial sponsors).

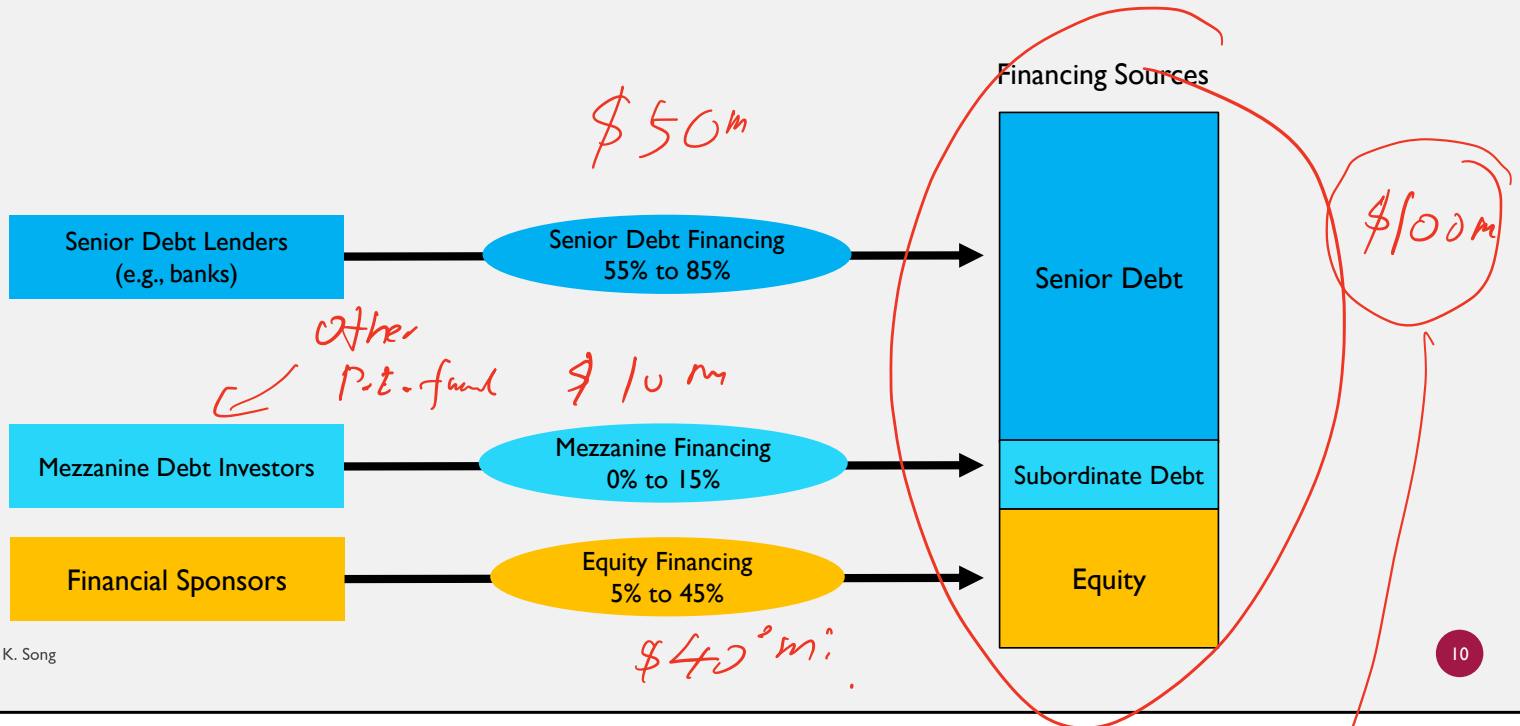


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mining company

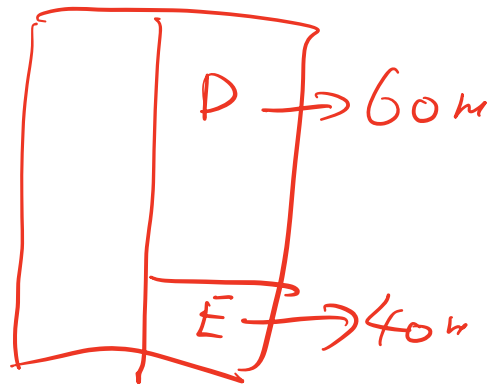
\$100m

Financing Sources in the Second Type of LBO



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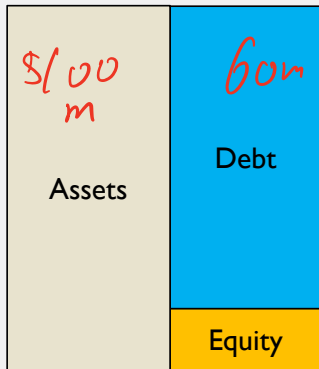
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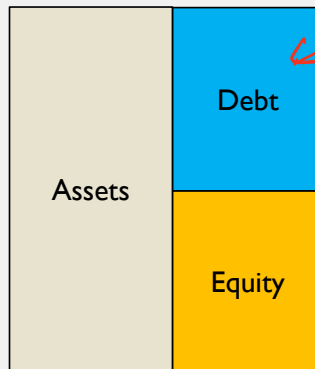
How do Financial Sponsors Profit from this Type of LBOs?

7, 8 year

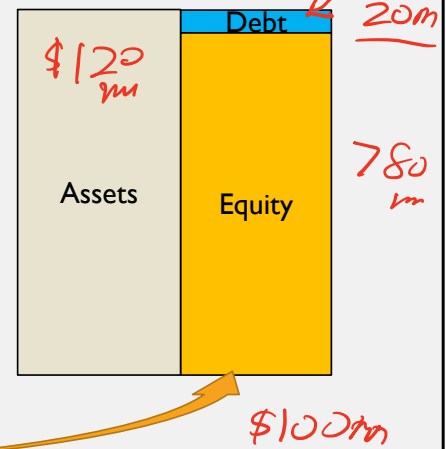
Target Firm at the time of LBO



Financial Sponsors pay off debt over the transaction period



Target Firm at exit (e.g., IPO)

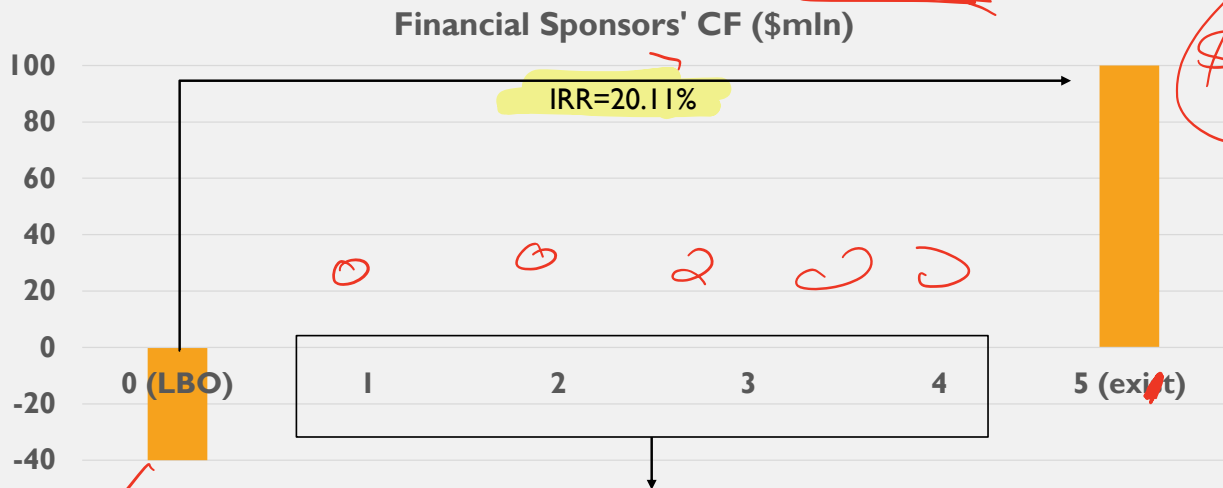


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Financial Sponsors seek 20% to 30% of IRR on their equity investment over a 5-to-7 year period

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Assume a financial sponsor invested \$40 mln in year 0 and receive \$100 in year 5.....



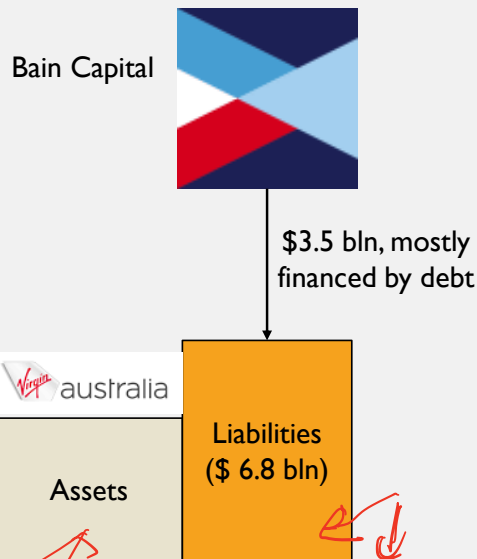
Near-term cash flows for the financial sponsors (i.e., equity holders) are typically zero or small because the financial sponsors prefer to pay off the debt ASAP.

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$-20m$ Eqr
80 m

A Real-World Example of Type II LBOs



- Virgin Australia (VA)'s total debt = \$6.8 bln
- VA was under "administration": debt holders had control.
 - 1. "Administration" is similar to "bankruptcy" in U.S.
 - 2. It means VA is under debtors' control.
 - 3. The next step could be "liquidation" if Bain Capital did not take over VA.
- Bain Capital paid \$3.5 bln to VA's creditors in 2020:
 - unsecured debtholders received 9%~13% of their investment
 - secured debtholders received \$2.3 bln.

2020 Covid hit hard

→ 6.8 Bn

← 6.8 Bn

Owners

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"Administration" → Liquidation → "fire sale"

→ M&A.

→ ~~Bailout~~

→ ~~Debt was restructuring~~

3.5 Bn. → 20% Equity ← P.E. Investor.

→ 80% Debt.

2020 LBO finish.

LBO Modeling/IRR Estimation in Type II LBOs

- Step 1: Assumptions
 - Purchase price assumptions
 - Financing structure assumptions (i.e., % of Debt financing)
 - Loan repayment schedule assumptions
 - Exit assumptions
- Step 2: Pro-forma statements
 - Pro-forma income statements
 - Pro-forma B/S
- Step 3: Cash flow forecasts
- Step 4: IRR

3.5 B%

22%
Eqv.

EBIT

Int Exp
Principal



LBO

IRR

Virgin Australia Mini Case (source: marketwatch)



Photo courtesy of Tian Lawson

Virgin Australia Group FY16 Financial Summary^{1,2}

- Group Underlying EBIT of \$210.6 million – an improvement of \$144.7 million on FY15
- Group Underlying Profit Before Tax of \$41.0 million – an improvement of \$90.1 million on FY15

2016

goal. → Znt p.
1% comp.

Virgin Australia became an LBO target in 2020; now is ready to being re-listed

- <https://www.afr.com/companies/transport/brokers-say-demand-for-virgin-shares-well-in-excess-of-the-offer-20250528-p5m2t4>

Gift this article



Virgin Australia will list on the ASX at \$2.60 at a cheaper price per share than rival Qantas. Bloomberg

As first reported by *The Australian Financial Review's* Street Talk column, brokers are selling 30 per cent of the company's register at \$2.90 per share or about seven times the earnings forecast for the financial year. That is at a discount to where shares in its larger rival, Qantas, trade.

→ existing held by Bain Co

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→ 40% → after IPO

Assumptions

Bain Capital

- Paid \$3.5 bn in 2020. Assume that
 - equity financing (P. E. investment) = \$731 mln
 - debt financing = $3,500 - 731 = \underline{\$2,769 \text{ mln}}$

→ 72%

Virgin Australia

Exit Assumptions:

- (a) Proceeds from 2025 listing
 - Exit share price = \$2.9 per share
 - Proceeds received from 2025 listing =
 - = $\$2.9 \times 236.2 \text{ mln} = \underline{\$687 \text{ mln}}$
- (b) Mkt value of unsold equity ownership in VA
 - VA's market cap after listing = \$2,300 mln.
 - Bain Capital's equity ownership after listing = 40%
 - $40\% \times \$2,300 = \underline{\$920 \text{ mln}}$
- (c) VA paid two dividends, \$730 mln (2023) and \$366.5 mln (2025)

Exit = 687 + 920

Question: What is the IRR of Bain Capital?

Bain Capital